



The Indian EXPRESS

JOURNALISM of COURAGE

NEW DELHI, LATE CITY, 20 PAGES

₹7.00 (₹8 RAIPUR, ₹15 SRINAGAR) • www.indianexpress.com

DAILY FROM: AHMEDABAD, CHANDIGARH, DELHI, JAIPUR, KOLKATA, LUCKNOW, MUMBAI, NAGPUR, PATNA, PU

MOVE TO DEEPEN MARITIME, DEFENCE COOPERATION IN THE INDO-PACIFIC

Modi flags trust amid turmoil, Takaichi underlines: ‘Build ties as brother, sister’



PM Narendra Modi with his Japanese counterpart Sanae Takaichi at Rashtrapati Bhavan, Thursday. [RENUKA PURI](#) [RELATED REPORT, P 5](#)

Economic security, energy resilience as pillars, India and Japan unveil raft of measures to deepen bilateral relations

Divya A & Deeptiman Tiwary
New Delhi, July 2

POSITIONING ECONOMIC security and energy resilience as the defining pillars of the next phase of their bilateral ties, India and Japan Thursday unveiled a raft of initiatives in this direction amid shifting geopolitics and global energy disruptions owing to the West Asia crisis.

These include a joint roadmap on economic security, a new framework on mobility, and an artificial intelligence (AI) partnership.

“In the environment of global turbulence today, mutual trust is our biggest strategic

asset,” Prime Minister Narendra Modi said in his joint media statement alongside visiting Japanese counterpart Sanae Takaichi.

Takaichi linked the new initiatives to the changing geopolitical environment, saying both countries faced challenges arising from “economic weaponisation and non-market practices” and needed to urgently build resilient critical mineral supply chains.

Addressing Takaichi as his younger sister, and welcoming her on her first visit to India as Prime Minister, Modi said, “The economies of India and Japan are complementary. From cul-

tural values to modern technology, there is similarity in our thinking and approach as well.”

“And above all, the foundation of our relations rests on unbreakable mutual trust,” he said, reflecting the growing convergence between the two countries.

Takaichi said that both leaders were on the same page to develop this relationship as brother and sister. She also noted that in the area of energy security impacted by the West Asia situation, both Japan and India bear the responsibility to provide for region-wide energy security.

»CONTINUED ON PAGE 2

From strategic stockpiling to AI ecosystem, roadmap is rolled out

Divya A
New Delhi, July 2

IN THE wake of global energy supply disruptions, India and Japan Thursday came out with a joint statement on energy resilience during the visit of Japanese Prime Minister Sanae Takaichi, expressing their shared intention to work together as responsible powers and major energy-consuming countries in Asia.

The two sides also advanced cooperation “to enhance the resilience and competitiveness of

EXPLAINED
HOW INDIA AND JAPAN CAN DEEPEN THEIR BUSINESS TIES
[PAGE 12](#)

both countries in the field of AI”. The aim is to bring about innovation and growth in both countries, in order to build a safe, secure, trustworthy, inclusive, human-centric, sustainable, accountable, and in-

novation-oriented AI ecosystem, the joint statement on AI said.

Towards energy resilience, both sides highlighted the importance of regional initiatives to strengthen energy resilience, such as India’s support for energy security in South Asia and Japan’s Partnership On Wide Energy and Resources Resilience (POWER Asia).

Following discussions between Modi and Takaichi, the Ministry of Petroleum and Natural Gas and the Japanese

»CONTINUED ON PAGE 2

INDIAN EXPRESS UPSC IAS EDITION HD 03~07~2026

-:FOR UPSC IAS ASPIRANTS:-

"AVOID POLITICAL & IRRELEVANT ARTICLES"
Please Try To Read This Completely in 40 Minutes If You Can't So Then You Have To Increase Your Efforts
All the topics of this UPSC IAS Edition are directly or indirectly important for the prelims & main examination.
There are some topics which can be coded in answer writing of other topics in the main exam.

WORRY OVER USERS ACCESSING BLOCKED SITES

Govt looks at stricter rules for VPN providers: Office in India, appoint compliance officials

Soumyarendra Barik
New Delhi, July 2

E. EXPLAINED

Why VPN?

VPN services allow users to mask their IP addresses and browse the Internet via servers located elsewhere. So, users can browse the web anonymously and also visit content that has been blocked in India by using a VPN server located outside the country.

government has is that VPNs are being increasingly used by people to get around the blocking of apps and online content.

The new framework could require VPN operators to establish offices in India and hire compliance officers who can address grievances raised by

»CONTINUED ON PAGE 2

THE CENTRE is working on an expansive legal framework to curtail virtual private network (VPN) providers that could require them to establish a local India presence and appoint key personnel to serve as a liaison with the government, *The Indian Express* has learnt.

This comes after a controversial directive in 2022 by the Indian Computer Emergency Response Team (Cert-In) which required VPN service providers to store a vast amount of customer data, including their names, email IDs, contact numbers and IP addresses.

However, a new legal framework is now being seen as necessary due to an implicit acknowledgement that the 2022 directives may not have been able to yield satisfactory results. The primary concern that the

[FROM PAGE 1 | FULL REPORTS ON WWW.INDIANEXPRESS.COM]

Modi and Takaichi

“You called me a beautiful younger sister, Prime Minister Modi. But at the small meeting before the big meeting, we confirmed that we are on the same page and develop this relationship as brother and sister,” she said.

“Japan and India must leverage our respective strengths to become stronger and more prosperous together in the midst of international affairs in disarray. The establishment of such an inter-complementary cooperative relationship has become ever more important,” she said.

The two sides also moved to deepen maritime and defence cooperation in the Indo-Pacific with plans for more naval exercises, defence technology collaboration, and an early convening of the India-Japan 2+2 ministerial dialogue.

Free Whatsapp Channel <https://whatsapp.com/channel/0029Van2VRb6RGJOKH6oBd0F>

Stressing that “economic security is shared security and energy transition is shared opportunity”, Modi said India and Japan had prepared a joint roadmap to strengthen supply chain resilience in semiconductors, quantum technologies, and advanced materials. He said the two countries had also launched an initiative to build 1,000 biogas and organic fertiliser plants in India, complementing the Centre’s GOBARdhan programme, besides expanding cooperation in batteries, green hydrogen and nuclear energy.

“As both countries face challenges such as economic weaponisation and non-market practices, we need to urgently build resilience in our critical minerals supply chains,” Takaichi said, announcing the move that is aimed at tackling China’s monopoly on critical minerals.

She also referred to disruptions in global energy markets arising from the situation in West Asia and announced the launch of a bilateral dialogue to strengthen India’s petroleum stockpiling system.

Japan, she said, would continue to support India’s bid for membership of the International Energy Agency.

On the joint roadmap for economic security, Modi said, “Through this, we will strengthen supply chain resilience in strategic areas such as semiconductors, quantum, and advanced materials.”

According to the Ministry of External Affairs, the talks delivered concrete progress on key priorities. Both sides adopted three landmark documents: Joint Declaration on Economic Security, Joint Statement on Cooperation in the field of Artificial Intelligence, Joint Statement on Energy Resilience.

Takaichi also noted the

alignment between India’s MAHASAGAR policy and Japan’s vision of a free and open Indo Pacific. “Prime Minister Modi positions the ocean as a shared space that supports regional stability and growth and is promoting the MAHASAGAR Initiative for countries across the Indian Ocean to defend their sovereignty and the sea through their own efforts; this is perfectly aligned with FOIP (Free and Open Indo Pacific policy),” she said, referring to the vision first mooted by the late Japanese Prime Minister Shinzo Abe in 2016.

“We agreed to deepen the strategic cooperation between Japan and India to achieve such common goals. Expansion of maritime security cooperation is especially important for regional peace and stability,” she said, adding that Japan and India must leverage their respective strengths to become stronger and more prosperous together.

Roadmap rolled out

Ministry of Economy, Trade and Industry will cooperate on the strategic stockpiling ecosystem.

“Cooperation will focus on mechanisms related to national stockpiling systems and reserves, including industry stockpiles; and coordination regarding arrangements with producing countries, besides emergency response and market stabilisation,” said a statement by the MEA.

The two sides reaffirmed the importance of cooperation to address shared challenges of energy availability and affordability, through supply assurance, enhancing resilience and creating mechanisms to mitigate volatility, thereby strengthening the voice of oil and gas-consuming countries, the MEA said.

The joint statement on energy resilience also highlighted the importance of resilient, self-reliant, and efficient maritime transport of oil and gas as a critical pillar of energy security for both countries.

New Delhi and Tokyo will also hold discussions under the India-Japan Joint Working

Group on Petroleum and Natural Gas under the aegis of the India-Japan Energy Dialogue. Through this platform, the two sides will share up-to-date knowledge and experience and explore mutually beneficial opportunities for cooperation.

In the AI domain, the joint statement said the two leaders concurred in cooperating to build resilient and growth-oriented economic ecosystems in alignment with India’s MAHASAGAR and Japan’s updated “Free and Open Indo-Pacific”.

“To this end, they committed to strengthen AI cooperation between India and Japan, with like-minded countries and partners, to support resilient and inclusive AI development in the Indo-Pacific and the Global South,” it said.

Modi and Takaichi also welcomed the vision of ‘AI for All’ advocated by the New Delhi Declaration adopted at the India AI Impact Summit in February this year, and reaffirmed their commitment to aim for AI to benefit all humanity, for inclusive and sustainable develop-

ment, and to improve public services delivery, the MEA said.

Meanwhile, in the economic sector, India and Japan aimed to deepen their trade and strategic partnership by setting a target of mobilising 10 trillion yen in Japanese investment into India over the next decade.

Modi said the investment partnership was gaining momentum, with 120 new business agreements signed over the past year and Japanese investments worth around \$10 billion committed to India.

Takaichi said that cooperation between the two countries included co-creation of economic growth of both India and Japan through investment and innovation collaboration.

“This is economic growth. I am committed to realising a strong economy and aiming to enhance Japan’s supply capability and technological capabilities through investment in 17 strategic areas. PM Modi launched Viksit Bharat, a national goal to become a developed nation by 2047 and is strongly driving India’s growth. In this way, we share the goal of making our countries strong and prosperous through investments in the future,” she said.

VPN

the government, two senior government officials told *The Indian Express*. Penal consequences, including jail terms for local employees, are also being considered in case of non-compliance, it is understood. Much of these requirements and penalties are also present for large social media companies under India’s IT Rules, 2021.

“In the last few months, we have been observing that users are able to bypass content, accounts and online services that have been blocked by the government on various grounds by using VPN services. The 2022 Cert-In directives that required VPN providers to store some usage data have not managed to rein in these companies as they have simply refused to comply. So, the need for a full-fledged law is being felt,” a senior government official said, requesting anonymity.

Queries sent to the Ministry of Electronics and IT did not elicit a response until publication.

VPN services allow users to mask their IP addresses and browse the Internet via servers located elsewhere, making it appear like the traffic is coming from a different jurisdiction, while hiding the original location. India’s censorship orders typically require companies to

Free Telegram Channel https://t.me/+2RvD_RGf9mljMzg1

geo-block content within the country’s jurisdiction, so, by using a VPN server located in the US, for instance, people can visit content that has been blocked here. They are also a way to anonymously browse the web, and are largely seen as a privacy-enhancing service.

India has stepped up its content blocking ecosystem in recent years, with over 24,000 orders issued in 2025, up from the over 12,000 orders it had issued in 2024, *The Indian Express* had earlier reported.

Another official said the need for having local points of contact for VPN companies is being felt so that the government can direct these services to not allow access to content that is being blocked, as such services “otherwise defeat the purpose”.

The 2022 Cert-In directive required VPN providers along with data centres and cloud service providers, to store information such as names, email IDs, contact numbers and IP addresses (among other things) of their customers for five years. In response, VPN operators like Proton VPN, NordVPN, ExpressVPN and Surfshark, had removed servers physically located in India and had started routing traffic coming from India via Singapore. “We have no intention of complying with this invasive mass surveillance law,” Proton VPN had said at the time.



DELHI DISCOMS TO UNDERGO SUCH AUDIT FOR FIRST TIME SINCE PRIVATISATION OF POWER DISTRIBUTION

Unrecovered cost of Rs 38,500 cr: Govt orders CAG audit of discoms

Express News Service
New Delhi, July 2

THE DELHI government has ordered a Comptroller and Auditor General (CAG) audit of power discoms amid concerns over Rs 38,500 crore in regulatory assets (RAs) accumulated over the years — a cost that is ultimately to be recovered from consumers.

In an order issued on Wednesday, the Power department said that the CAG will undertake a “strict and intensive audit of the circumstances in which the Distribution Companies — BRPL, BYPL and TPDDL have continued without recovery of Regulatory Assets”.

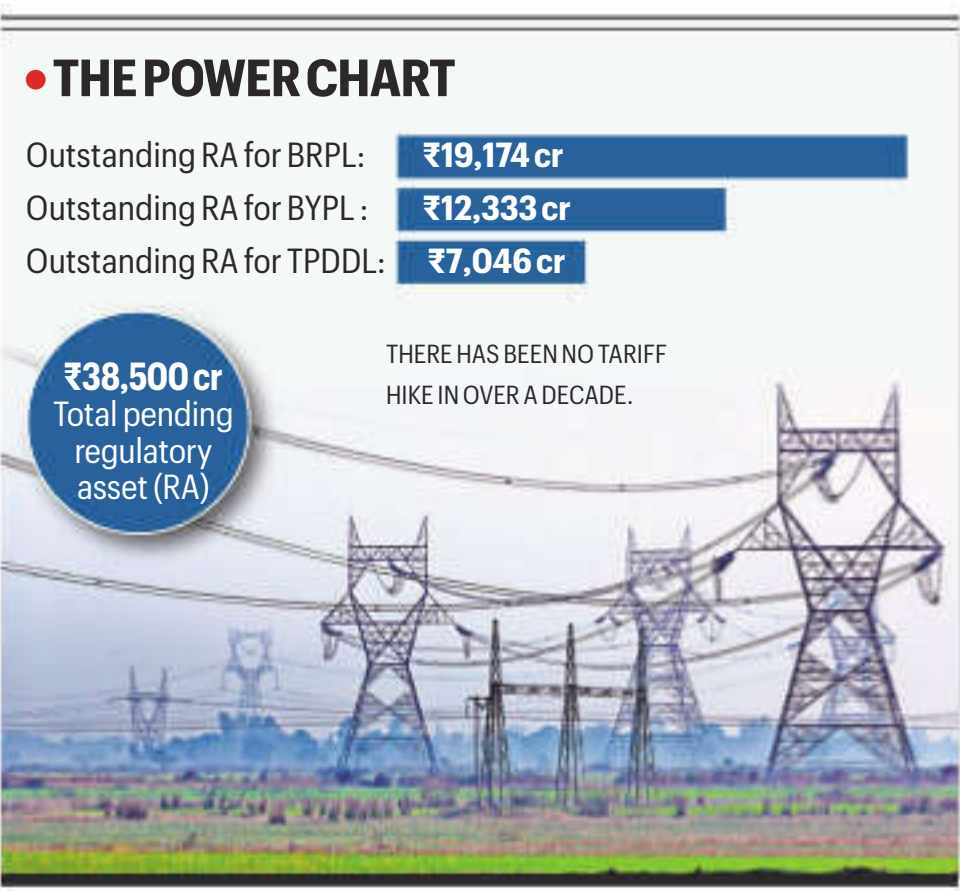
The audit may preferably be completed within three months from the date of communication of the order, subject to such extension as the CAG may consider necessary having regard to the scope and complexity of the audit, the order dated July 1 read.

In response to the government’s decision, a BSES spokesperson said, “The question of a CAG audit of the Delhi discoms is currently sub-judice before the courts. As the matter is under judicial consideration, it would not be appropriate to comment further.”

This will be the first time power discoms in Delhi undergo a CAG audit since the privatisation of electricity distribution in 2002, unless they seek legal recourse. A similar attempt was made by the previous AAP-led government to conduct a CAG audit, but it was thwarted by the High Court in 2015.

RAs refer to deferred expenses borne by discoms out of changes in fuel costs. It is determined as the gap between average cost of supply by the discoms and the revenue collected by them through tariffs and subsidies.

“...After considering the representations of the Distribution Companies and the directions of the Supreme Court... and having regard to the magnitude of the regulatory assets, their implications on electricity consumers, the involvement of public funds through government equity participation and subsidy support, and the consequent need for transparency and accountability in the electricity sector, the Cabinet on June 29, has observed that entrustment of the audit to the CAG of India is expedient in public interest, and has accordingly recommended the entrustment of a strict and intensive audit of the circumstances



Free Telegram Channel https://t.me/+2RvD_RGf9mljMzg1 in which the Distribution Companies have continued without recovery of the regulatory assets, to the CAG...,” the order read. The Cabinet meeting was chaired by Chief Minister Rekha Gupta this Monday.

Power Minister Ashish Sood said, “The formal order for the CAG audit of Delhi’s DISCOMs is a historic moment for transparency, accountability and governance reforms in Delhi’s power sector...”

He said that after the privatisation of the power sector, many financial decisions, special arrangements and growing liabilities escaped proper public scrutiny for years. “The AAP government chose to protect the system instead of examining it. What they failed to do in 10 years, our government has initiated within a few months...people of Delhi have every right to know how regulatory assets worth nearly Rs 38,000 crore kept growing and who benefited while this burden continued to hang over the citizens,” Sood said.

Officials also said that the audit has been approved by the

Lieutenant Governor.

Earlier in April, the Appellate Tribunal for Electricity (APTEL) rejected the Delhi Electricity Regulatory Commission’s (DERC) application seeking a CAG audit of power discoms and directed the Commission to begin the liquidation of pending RAs in three weeks.

As per DERC’s submission before APTEL, the outstanding RAs comprise Rs 19,174 crore for BRPL, Rs 12,333 crore for BYPL, and Rs 7,046 crore for TPDDL. These represent approved expenditure incurred by the discoms for supplying electricity.

As there was no tariff hike in over a decade, the amount rose to Rs 38,500 crore.

The order states that on August 6, 2025, a strict and intensive audit of the circumstances in which the discoms continued without recovery of RAs was directed. And the CAG on January 20 this year conveyed its in-principle approval to undertake the audit of accounts of the three discoms, upon an authorisation by the LG.

On APTEL rejecting a CAG audit, the Power department said, notices were issued to discoms on June 6, asking them to submit their representations and avail opportunity of personal hearing.

EXPRESS special

Last few seasons, one in three winter days in Delhi saw GRAP 3 & 4 curbs

Sophiya Mathew
New Delhi, July 2

ABOUT ONE-THIRD of each of Delhi's last three winters was spent under the two strictest stages of anti-pollution curbs, Graded Response Action Plan (GRAP), according to an analysis by *The Indian Express*. The pattern explains why the Delhi government has decided to make several anti-pollution measures mandatory every winter — from November 1 to February 28 — instead of imposing them only during pollution spikes.

An analysis of GRAP orders issued by the Commission for Air Quality Management (CAQM) alongside pollution levels over the last three winters shows that Delhi-NCR spent the majority of the November 1-February 28 period under some kind of pollution curbs.

In each winter, fewer than 12 of the 120 days were free from restrictions beyond GRAP 1. Meanwhile, GRAP 3 and 4 — the most disruptive levels — remained in force for about 40 days every winter.

Under GRAP 3, most of private construction and demolition activities are put on hold, while under GRAP 4, additional curbs like entry of trucks into Delhi, hybrid schooling and work from home provisions are introduced.

On Wednesday, the Delhi government notified a new



The winter of 2024-25 witnessed the highest number of GRAP 4 days among the three seasons. FILE

Free Telegram Channel https://t.me/+2RvD_RGf9mljMzg1 counting for pollution sources. It recommended a more predictable, source-based and hyperlocal approach so authorities can act before pollution worsens.

2023-24: Consistent elevated pollution
The winter of 2023-24 saw consistently high pollution. Average PM2.5 levels were 240 µg/m³ in November, 202 µg/m³ in December and 205 µg/m³ in January before falling to 102 µg/m³ in February. During the 120-day season, Delhi spent 24 days under GRAP 3 and 13 days under GRAP 4.

Unlike the subsequent winters, GRAP IV was invoked only once, but remained in force continuously from November 5 to 18 – 13 days. GRAP 3 was enforced in four separate

spells as pollution fluctuated.

2024-25: Highest GRAP IV days

The winter of 2024-25 witnessed the highest number of GRAP 4 days among the three seasons. Average PM2.5 levels were 248 µg/m³ in November, improving to 170 µg/m³ in December and 163 µg/m³ in January. Despite the gradual decline, repeated pollution spikes led to GRAP 4 being imposed for 27 days across three spells.

The AQI in the first two weeks of November remained in the 'Very Poor' category, but GRAP 3 was introduced only on November 14. As pollution worsened to the 'Severe' category, GRAP 4 came into force on November 17 and continued into December, making it the longest period of strict restrictions in the three winters.

2025-26: Elevated pollution in December

Unlike previous winters, pollution remained high well into December in 2025-26, instead of declining after November.

Average PM2.5 levels were almost unchanged between November (215 µg/m³) and December (213 µg/m³), leading to the continuation of stringent restrictions later into the season.

Delhi spent 27 days under GRAP 3 and 14 days under GRAP 4, with emergency measures extending through much of December.

Why GRAP matters

While GRAP 1 and 2 mainly strengthen enforcement against dust, waste burning, vehicular emissions and diesel generators, GRAP 3 is the first level that significantly affects economic activity, stopping most construction and demolition work.

GRAP 4 additionally introduces the toughest restrictions, including a ban on entry of trucks into Delhi except for essential goods and services, restrictions on Delhi-registered BS-IV diesel heavy goods vehicles, curbs on public infrastructure projects, hybrid classes for students of classes 9 and 11, work from home options for government offices with only 50% physical attendance and the possibility of shutting colleges and non-essential commercial activities.

According to the CEEW report, "While GRAP formally considers forecasts, its implementation remains largely air quality index-triggered and insufficiently linked to source contribution forecasts, hotspot-level data, and pre-emptive sectoral action."

"The problem is not that GRAP stages change," it said. "It is that frequent imposition and withdrawal without a clear source-based rationale creates uncertainty for businesses, schools, construction firms, enforcement agencies and citizens."

Divya A
New Delhi, July 2

peace. In this context, they region.

peace. In this context, they mooted a trilateral 1.5-track policy dialogue with the Philippines, reiterating their strong support for ASEAN's centrality.

While PM Modi appreciated Japan's support in enhancing connectivity in the region with

road networks and bridges, the two sides discussed creating industrial value chains connecting the Northeast with the Bay of Bengal area in collaboration with regional organisations such as BIMSTEC.

There were discussions earlier to hold the India-Japan summit in Guwahati, in consonance with Japan's ties with the region, but it was later changed to New Delhi owing to PM Takaichi's tight schedule.

The two Prime Ministers expressed serious concern over the situation in the East China Sea and the South China Sea, according to the joint statement. Without making any direct mention of China, they reiter-

ated "their strong opposition to any unilateral action that endangers the safety as well as freedom of navigation and to changing the status quo by force or coercion".

They shared their concerns over the growing militarisation of disputed features, in an oblique reference to China's growing military dominance in the

The two sides also shared serious concern over North Korea's nuclear and missile programmes and over the situation in Myanmar and its regional impact. They called for a just and lasting peace in Ukraine and expressed their mutual support for each other's candidature for a permanent seat in a reformed UNSC.

Free Whatsapp Channel <https://whatsapp.com/channel/0029Van2VRb6RGJOKH6oBd0F>

Govt brings stem cell, gene therapies under Central licensing ambit

Express News Service
New Delhi, July 2

THE CENTRAL government on Thursday amended the Drugs Rules, 1945, bringing stem cell derived products, gene therapeutic products and xenografts under the ambit of the Centrally Licensed Approving Authority (CLAA) framework to enhance regulatory oversight of new and emerging therapies.

Under the Drugs and Cosmetics Act, certain drugs and biological products are under joint regulatory supervision of the Central and State regulators. These include vaccines, large volume parenterals and r-DNA based medicines.

With this amendment, this set is being expanded to cover additional emerging technologies, the health ministry said in a statement.

Cell and genetic therapies are complex and rapidly evolving fields with several cutting-edge cancer treatments, including the Chimeric Antigen Receptor T-cell therapy (CAR-T). With high costs of the patented therapies, many Indian companies are making their own immunotherapy to treat blood cancer.

Genetic therapies are used to treat genetic disorders and various types of cancers. Xenografts are animal tissue-derived products, such as heart valves, which are being used in cardiology.

"Since these technologies represent highly complex, specialized and rapidly evolving areas of medical science, they need enhanced regulatory scrutiny to ensure patient safety," the health ministry said in a statement. This will help in quicker adoption of newer technologies, it said.

Air pollution plan needs political will, not an eye on the election cycle

OVER THE past few years, we have witnessed a troubling disconnect between scientific evidence and policy implementation in the country. First, the weak enforcement of the fuel-ban policy for end-of-life vehicles undermined its intended impact. Then, the draft Electric Vehicles (EV) Policy 2.0 raised serious concerns among environmentalists by proposing to extend EV incentives to hybrid vehicles. While hybrids combine petrol engines with electric motors, they remain dependent on fossil fuels and cannot deliver the full environmental and public-health benefits of zero-emission mobility.

Against this backdrop, the Delhi government's latest initiative marks a step in the right direction by targeting emissions at their source rather than targeting the open sky. It offers renewed hope for sustained improvements in air quality. The push for the EV policy 2.0 might shrink the urban carbon footprint, and the purification of local air could help alleviate concerns over respiratory and other non-communicable diseases that affect a substantial section of the city's population. For the metropolis, which juggles a staggering fleet of over 15 million vehicles, transitioning to electric mobility is no longer just an environmental aspiration; it is a public health imperative.

The Delhi emission inventory database in the National Institute of Advanced Study's (NIAS) 2025 policy brief reveals that the transport sector accounted for 41 per cent of the city's most deadly air pollutant, PM 2.5, Free Whatsapp Channel <https://whatsapp.com/channel/0029Van2VRb6RGJOKH6oBd0F>

in 2024. The new policy will unfold in two phases. Starting January 1, 2027, the city will completely halt the registration of conventional three-wheelers and light goods vehicles, permitting only electric models. From April 1, 2028, only electric two-wheelers will be allowed to register.

Two-wheelers contribute 20 per cent, whereas three-wheelers contribute less than 5 per cent of transport emissions. Currently, almost half of the three-wheelers are already non-fossil fuel, so their contribution is not 17-20 per cent as estimated by earlier studies, including the one by TERI in 2018. So, the overall gain with 100 per cent EV conversion of these three categories of vehicles would be 35 per cent of total transport, which will translate to just 15 per cent of Delhi's PM 2.5 concentration — this is a good initiative, but it won't lead to drastic improvement.

However, a balanced perspective is one of the fundamental requirements of science. Studies conducted by the NIAS show that this policy is merely the first battle in a much larger war. While the present policy is a good start, to truly clear the air, subsequent policies must tackle the two heaviest polluters: Heavy commercial vehicles and buses, which command around 60 per cent of transport emissions. Tackling pollution from their tailpipes could reduce Delhi's PM 2.5 by 20-25 per cent.

The number of commercial vehicles and buses might be low, but their emissions are higher compared to those from two-wheelers



GUFRAN BEIG

While the present policy is a good start, to truly clear the air, subsequent policies must tackle the two heaviest polluters: Heavy commercial vehicles and buses, which command around 60 per cent of transport emissions

and cars. Policymakers need to prioritise targets based on the most polluting fleet. Transforming commercial vehicles to EVs will yield the maximum benefit. However, practical challenges need to be assessed.

The public-health payoffs of this structural shift are monumental. According to an NIAS policy brief, adoption of EVs would avert 800 premature deaths annually because cleaner air would reduce diseases linked to vehicle emissions, such as heart disease, stroke, lung cancer, and respiratory illnesses. It will save 12,000 years lost to disability every year. In other words, Delhi's population would collectively gain the equivalent of 12,000 additional healthy years of life every year through reduced illness and premature death. Beyond the intrinsic value of human life, this transition makes undeniable economic sense. According to the NIAS study in 2025, transitioning two-wheelers, three-wheelers, and light commercial vehicles fully to electric power could save at least Rs 1,000 crore every year in averted medical expenses, reduced hospital admissions, and recovered economic productivity. When weighed against the Delhi government's pledge to invest Rs 15,000 crore in the EV policy over the next four years, the return on investment becomes clear. The state's entire four-year financial commitment to subsidies and infrastructure is likely to be offset soon. However, this needs to be extended to other vehicle categories firmly to get early returns.

The success of the policy will require sustained investment. Its true environmental and physiological rewards will mature over years rather than months. Policymakers will need to stay the course and demonstrate political will. Air pollution does not recognise election cycles. For Delhi to witness a permanent transformation, these mandates must be agnostic to political shifts, and public health needs to be given top priority.

The government also needs to give serious thought to phasing out CNG. After all, its use all involves combustion and, therefore, pollution — especially of NOx. Such pollution needs to be curbed.

This is the time for deliberate, science-aligned, and phased policy-making (as underlined by the National Air Quality Resource Framework of India) — one that sets clear targets and ensures that interim measures do not undermine long-term goals. If we truly care about clean air, we must get the priorities and the timelines right. We understand that transport bears an enormous responsibility for pollution's stranglehold on our cities, and we have finally made a good start. Now, we must summon the courage and political will to leap to the ultimate solution, attack the source directly, rather than languish in the mediocrity of transitional technologies.

In a city gasping for every breath of clean air, our survival may well depend on the choices we make today.

The writer is chair professor, NIAS, IISc-campus, and founder, SAFAR

Delhi-Tokyo ties face the future

JAPANESE PRIME Minister Sanae Takaichi's visit to India this week comes in a time of growing uncertainty over the US approach towards China and the Indo-Pacific. While the first Donald Trump administration adopted a confrontational policy towards Beijing and invested in building regional coalitions to contain its rise, Trump 2.0 has favoured transactional one-on-one engagement over coalition-building. The Pentagon's decision to revert the Indo-Pacific Command (INDOPACOM) to its original name, Pacific Command (PACOM), the 2025 National Security Strategy's narrow conception of core US interests in the Indo-Pacific, and the recent Trump-Xi summit have all fuelled concerns about Washington's reliability as a long-term partner for Asian countries wary of China. Against this backdrop, summit-level talks between PM Narendra Modi and PM Takaichi, less than a year after the former's visit to Japan, further boost the deep-rooted Delhi-Tokyo partnership. Japan's advanced technological capabilities, investment capacity, and growing military power make it uniquely placed to complement India's rise.

Both countries share concerns about China's assertiveness. India has an unresolved border, while Japan has maritime and territorial disputes. Technology is another important pillar of bilateral cooperation. Both countries seek to reduce dependence on Chinese technologies and rare earths. Japan brings capital, advanced manufacturing, and semiconductor expertise, while India offers scale, software talent and a vast market. A coordinated India-Japan strategy can help shape the value chains of the future.

The Indo-Pacific continues to be central to India's economic and security strategy. Whether Washington's recalibration turns out to be tactical or strategic, India must do its part by accelerating its military and technological modernisation while deepening strategic partnerships across the region. A closer partnership with Japan advances both objectives. Preserving a stable, rules-based Indo-Pacific and a favourable balance of power requires India and Japan to emerge as stronger strategic actors.

Trump's Quad retreat opens door for India, Japan, Australia



GURJIT SINGH

THE RELUCTANCE of the US to convene a Quad summit, the decision in Washington to revert to a Pacific Command from the Indo-Pacific Command, and the Donald Trump administration's desire to establish a possible G2 with China have generated concern across the Indo-Pacific. These raise questions about the future of the Quad and the broader vision of a Free and Open Indo-Pacific (FOIP). Yet this may be the moment for India, Japan, and Australia to step forward. The Quad was not intended to be solely an American project. The intellectual foundations were laid largely by Japan, particularly through the vision articulated by Shinzo Abe. India and Australia embraced the idea because it reflected a shared interest in preserving an open, rules-based maritime order, stretching from Africa's eastern coast to the Pacific Ocean.

If US attention fluctuates, the responsibility for sustaining that vision increasingly falls upon the region's leading middle powers. The meetings of PM Modi with Japanese PM Sanae Takaichi yesterday and with Australian PM Anthony Albanese in Australia this month provide an opportunity to show that the Indo-Pacific's future does not depend exclusively on Washington's enthusiasm.

Japan signalled its intention to assume a greater role. Marking 10 years since Shinzo Abe first outlined the FOIP, Takaichi reaffirmed its relevance. Tokyo's updated FOIP focuses on economic infrastructure for the age of AI, resilient supply chains for energy and critical materials, and security cooperation. These are akin to India's own aims. Japan's proposed FOIP Digital Corridor, which includes submarine cables, Open RAN, satellite communications, and advanced optical networks, provides opportunities for collaboration with India and Australia. Australia's growing defence cooperation with Japan also shows how regional powers are trying to reduce reliance on any single external power.

Delhi has long indicated that the Quad is not an Asian NATO and has resisted efforts to transform it into a formal alliance. Strategic autonomy remains central to its foreign policy. But it shouldn't be confused with strategic passivity. A robust India-Japan-Australia framework would allow them to collaborate without depending on an alliance system. India need not be involved in the Taiwan crisis. It can play a bigger role in the Indian Ocean.

Beijing's growing naval strength, economic coercion, aggressive territorial claims, and weaponisation of critical supply chains cause anxiety across the Indo-Pacific. Simultaneously, many ASEAN members remain wary of having to choose between China and the US. This creates a window for India, Japan, and Australia. They are often perceived as partners rather than rivals.

If the Indo-Pacific is to remain free and open, it should be supported by economic integration. Could India apply for the CPTPP? India withdrew from RCEP in 2019 due to concerns about market access and Chinese domination. CPTPP covers Japan, Australia and others, and excludes China. It promotes rules-based trade, investment protection, digital commerce, and supply-chain integration. Strategically, it would place India firmly within the Indo-Pacific economic architecture, reduce dependence on bilateral trade arrangements and augment India's current FTAs. For a larger role in the regional order, India should look beyond security engagements to frameworks that mould trade, investment, technology, and standards.

Free Telegram Channel https://t.me/+2RvD_RGf9mIjMzg1

The writer is a former ambassador

The Quad was not intended to be solely an American project. The intellectual foundations were laid largely by Japan, particularly through the vision articulated by Shinzo Abe

● **WHAT THE OTHERS SAY**
Supreme Court checks Trump, but empowers the presidency.
— *Financial Times*

READ. THINK. SHARE.
Scan the QR code to explore curated editorials and opinions from leading voices



The Ideas Page

FRIDAY, JULY 3, 2026

11

DIS/AGREE

THE BEST OF BOTH SIDES

A weekly column, which offers not this-versus-that, but the best of both sides, to inform the debate

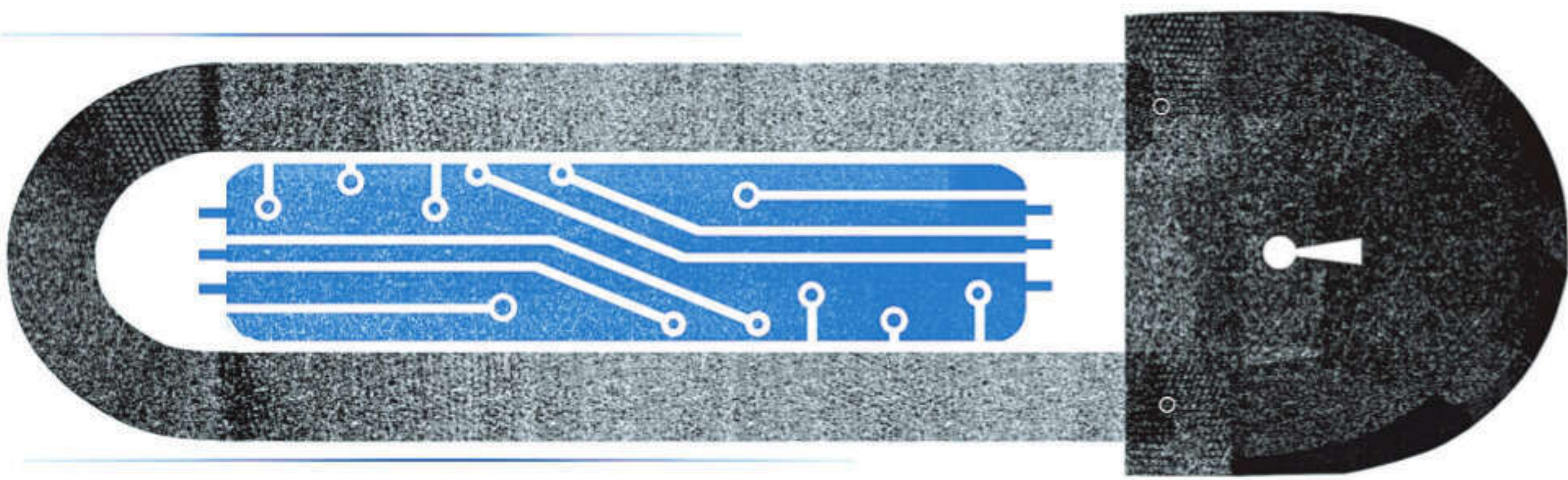


ILLUSTRATION: C R SASIKUMAR

Is restricting access to frontier AI models turning it into a geopolitical weapon and/or leverage?

Don't bet on an AI trickle-down



SOUMYA BHOWMICK

THERE IS AN Adam Smith reading of the present moment: Even as the US tightens its grip on the most advanced chips and models, the invisible hand will, given time, diffuse capability outward, with prices falling and the frontier becoming the floor. The difficulty is the time. As John Maynard Keynes noted of this classical optimism, in the long run, we are all dead. In a domain where capability compounds by the quarter, the long run is the period in which the strategic gap becomes permanent.

This is the harder reading that New Delhi should adopt. AI is being weaponised, and the country that holds the frontier has every incentive to keep it scarce. Modern statecraft has normalised the conversion of interdependence into leverage. We saw it with vaccine nationalism during the pandemic; we are seeing it with the Strait of Hormuz. We see it in critical mineral and rare earth export controls, where processing dominance can be switched on as a weapon. AI is the next and most consequential entry on that list because it is not just one commodity but the general-purpose input to all the others.

The American architecture for this is already built. The 2025 AI Diffusion framework sorted the world into tiers of access and, for the first time, placed AI model weights under export control alongside the chips that train them. That specific rule has since been loosened into a more discretionary, country-by-country regime, but the principle survived and hardened. Its sharpest expression came only weeks ago, when Washington ordered Anthropic to cut off the latest versions of its most capable models, Mythos and Fable, to every user outside the US; the company complied by suspending access for everyone, curbs that have since been lifted from July 1.

At the G7, the pitch to allies was that frontier models would be reserved for "trusted partners." Read plainly, that means access to the most powerful general-purpose technology of the era is becoming a privilege that Washington can extend or revoke at will. That is not a market trickling outward. It's an arms race with a gatekeeper. Unlike earlier technologies, AI feeds its own outputs back as inputs and reaches into cognition itself, so the leader's edge compounds and a follower's lag hardens into a structural gap.

In my conversations across Washington this month, the same uneasy picture kept surfacing. Neither India nor Europe sits at Free Whatsapp Channel <https://whatsapp.com/channel/0029Van2VRbRGJOKH6oBd0F>

the frontier of AI development. China, by contrast, has leaned into open-weight models that are cheaper and easier to adopt, which gives much of the world, India included, a powerful commercial pull towards Chinese systems exactly when the American frontier becomes harder to reach. That pull collides with real concerns about data sovereignty, security, and strategic dependence. India risks being squeezed from both ends: Rationed by Washington at the top, courted by Beijing at the bottom, and fully sovereign at neither.

None of this is a case for fatalism, because India is not starting from nothing. It has the demographic ballast its rivals lack: The world's largest population, a median age under 30, and one of the deepest pools of software talent anywhere. But scale is potential, not power, and soft endowments do not substitute for hard capacity. India still buys its chips rather than making them, and the binding constraints are physical: Advanced semiconductors, reliable energy, data-centre capacity, patient risk capital, and the university-to-industry pipelines that turn talent into frontier research.

To its credit, the government has stopped treating this as a private-sector afterthought. The India AI Mission has built a shared national compute pool that has crossed 34,000 GPUs and is scaling further, with subsidies for startups and universities. It has commissioned a dozen indigenous foundation models, and at the India AI Impact Summit in New Delhi, builders such as Sarvam released competitive open models tuned for Indian languages.

What is still missing is preparation for the contingency this whole episode foreshadows: A future in which a chip generation or a frontier model is simply switched off for India, as Mythos was switched off for the world. That preparation is partly legal, securing binding guarantees of compute and model access rather than goodwill that expires with an election, and deepening ties with Europe and other middle powers that share the predicament. It is partly industrial, accelerating domestic fabrication, power generation, and data-centre build-out so that sovereignty does not rest on imported silicon. And it is partly strategic patience of the right kind, investing now in the institutions, talent, and capital a frontier capability demands, in the knowledge that this is the one race where catching up later is not an option.

The comforting view assumes a long run in which everything equalises. The weaponisation of AI is the warning that there may be no such long run to wait for, only a sequence of short ones in which advantage is banked or lost. India has the people, a credible start, and a narrow, closing window. The question is whether New Delhi treats that window as a horizon or as a deadline.

The writer is with the Observer Research Foundation (ORF)



ANIL SASI

AMERICA'S GOVERNANCE of AI is proving whimsical, much like the Donald Trump administration's approach to most other aspects of geopolitics. But its more recent efforts to wall off access to advanced American AI models could end up being counterproductive. Policies designed to further America's lead could encourage foundational AI model developers worldwide to build on Beijing's largely open-source model push and unintentionally catalyse China's rise in AI, while also forcing more cooperation across other jurisdictions such as the EU or Japan. While Trump's increasingly transactional approach has now been legitimised as state policy, its willingness to treat AI as a new source of extraordinary leverage comes with pitfalls in the long term.

So, how fickle is this new US regulatory stance on AI? A departure from its traditional light-touch regulatory strategy, the new American policy seems to be adjusting and improvising, quite like a saxophone player in a jazz quartet, to the arrival of increasingly powerful models with national-security implications. On June 12, three days after Claude Fable 5 was launched, the Trump administration directed Anthropic to exclude foreigners from accessing its latest and most capable frontier AI model. On Wednesday, after an over two-week ban, the US government allowed Anthropic to restore customer access.

Despite this, the signals these actions send are likely to endure: That America is not loath to exploit its role as the gatekeeper to frontier AI while capriciously deciding who gets to use the world's most crucial technology. That the US is willing to ride roughshod over private AI companies, as it did earlier in March when it designated Anthropic a supply-chain risk, and it will not hesitate to treat users pretty much the same way. All this despite the models having been developed entirely by private companies with commercial operations across multiple jurisdictions.

While Trump has consistently upended many established tenets of US foreign policy and appears to be unflinchingly proud of brandishing an unreliable image of America in everything from defence to trade, this administration is by no means an exception. After World War II, the US stopped assisting the UK's nuclear weapons programme, only to relent after the latter developed expertise of its own. It has consistently chosen not to share its best military equipment, like the F-22 Free Telegram Channel https://t.me/+2RvD_RGf9mljMzg1

fighter jets, even with close allies. Most of this administration's restrictive policy actions do not just affect America's adversaries, but also its closest allies.

Reversing the AI ban likely happened not out of altruism, but because of the realisation in Washington DC that the legal basis of the order was shaky and was unlikely to stand up to challenges in courts.

From a strategic standpoint, though, these restrictions seem even more tenuous. Take America's more recent restrictions focussed on cutting off China. Following export bans that blocked China from accessing advanced semiconductor technologies and space equipment, Beijing has aggressively pivoted to domestic development. In the process, Chinese firms successfully designed and launched their own high-performance chips, specifically testing processors in the 28-nanometre (nm) to 16 nm range, all the way to Huawei's project aimed at producing 1.4-nm chips by 2031. US space restrictions may have restrained NASA and federally funded contractors such as SpaceX from engaging in collaborations with China, but Beijing has managed to build a top-notch space sector that is achieving historic milestones, including retrieving samples from the far side of the Moon and fabricating its own low Earth orbit space station.

America's AI move is anti-innovation, too. Innovation works best through diffusion — like GPS becoming dominant because it was widely available, despite it having started as an American military project. A ban on software is even more untenable than Trump's earlier interventions that blocked access to hardware, such as Nvidia chips.

For the world, the move could force AI companies elsewhere to look for models from other countries or build their own. Countries would now want to cooperate more to overcome this American hegemony in frontier AI. China is already pushing ahead on cost-optimised open-source models and accelerating adoption across its economy; the EU is now fostering co-operation to build sovereign compute while Japan has announced substantial capital investments.

For India, too, it's becoming clear that without a sovereign AI stack, the reliance on foreign tech could be detrimental, despite all the hype around the country's diffusion strategy: Hybrid public-private AI diffusion aimed at deploying AI across healthcare, agriculture, and public services. It makes sense for Delhi to double down on committing to its own foundational models, however imperfect, and then leverage its scale to engage multiple ecosystems simultaneously. That should be the singular takeaway from the US actions on Claude.

The writer is National Business, and Explained, Editor, The Indian Express.
anil.s@expressindia.com

TECH

Scams, spoofing: Govt’s concerns over WhatsApp’s username feature

Soumyarendra Barik
New Delhi, July 2

THE CENTRE has asked Meta-owned WhatsApp not to roll out its upcoming username feature over concerns of impersonation and fraud. In a notice issued to the company on Wednesday, the IT Ministry has given WhatsApp three days to furnish a detailed explanation of the feature.

This week, WhatsApp announced it would gradually allow users to select a username and hide their phone numbers when contacting another user for the first time. It is currently allowing users to “reserve” a username to avoid overlaps with others. It is an optional unique identifier that can be used to message or call, while keeping a user’s phone number private. Messaging services like Telegram and Signal have similar features.

Though the company is billing the feature as one making WhatsApp conversations more private, some are concerned that bad actors could use it for impersonation. WhatsApp earlier clarified in response to the government’s notice that it had built safeguards around the feature.

Username as identity

In its notice, the government is understood to have told WhatsApp that the feature may materially increase the incidence of online fraud, phishing and digital arrest scams. The government has also flagged that the feature may facilitate impersonation of public authorities and government agencies, by permitting the adoption of usernames closely resembling those of genuine people and institutions.

Senior government officials said a risk assessment of the new feature would be undertaken. “During our internal assessment and subsequent questioning of WhatsApp, if we do not think there are enough guardrails to protect against impersonation, the government may also look into whether the feature’s rollout should be stopped altogether,” an official said, requesting anonymity.

India is WhatsApp’s biggest market, with over 850 million users. Some in the Indian tech community had also criticised the feature. Mobikwik’s CEO Bipin Preet Singh said on X: “Not a good idea at all. Will lead to proliferation of fraud and impersonation. For example, I checked, most variations of my name already taken. Wonder what can it be used for.”

WhatsApp’s defence

A WhatsApp spokesperson said that to protect against impersonation, the company has held high-profile names of public figures, government entities and celebrities.

“Users still require a phone number to use WhatsApp and we’ve built multiple layers of defense against scams into usernames: Other users need to know the exact username to message you, we will limit how many new people an account can contact... and have systems to detect and remove activity showing common impersonation and abuse patterns,” they added.

In an earlier blog post announcing the feature, WhatsApp said: “Usernames are our latest step to make WhatsApp even more private. There’s no directory to browse and no suggestions”. As an added safety feature and to allow users to control who can reach them on WhatsApp with their username, the platform has built an optional numeric key that others will need to know to message a user.

“When you message someone for the first time who doesn’t have you saved in their contacts, we might share whether your phone number is registered in a country different from theirs to help them know who they’re connecting with so they can stay safe and avoid unwanted contact,” WhatsApp said.

The feature has not yet been rolled out. For creators, small businesses, and organisations that may want to maintain a consistent presence online, WhatsApp will allow an option to claim their existing Instagram or Facebook username on WhatsApp. The company said it takes impersonation-related abuse “seriously,” and will take action against users who may pretend to be someone else. Free Telegram Channel https://t.me/+42RvD_RGf9mljMzgl

WhatsApp’s defence

A WhatsApp spokesperson said that to protect against impersonation, the company has held high-profile names of public figures, government entities and celebrities.

“Users still require a phone number to use WhatsApp and we’ve built multiple layers of defense against scams into usernames: Other users need to know the exact username to message you, we will limit how many new people an account can contact... and have systems to detect and remove activity showing common impersonation and abuse patterns,” they added.

In an earlier blog post announcing the feature, WhatsApp said: “Usernames are our latest step to make WhatsApp even more private. There’s no directory to browse and no suggestions”. As an added safety feature and to allow users to control who can reach them on WhatsApp with their username, the platform has built an optional numeric key that others will need to know to message a user.

“When you message someone for the first time who doesn’t have you saved in their contacts, we might share whether your phone number is registered in a country different from theirs to help them know who they’re connecting with so they can stay safe and avoid unwanted contact,” WhatsApp said.

The feature has not yet been rolled out. For creators, small businesses, and organisations that may want to maintain a consistent presence online, WhatsApp will allow an option to claim their existing Instagram or Facebook username on WhatsApp. The company said it takes impersonation-related abuse “seriously,” and will take action against users who may pretend to be someone else. Free Telegram Channel https://t.me/+42RvD_RGf9mljMzgl

BUSINESS

Sanae Takaichi’s visit: What India and Japan can do to boost their business ties



EXPERT EXPLAINS
AJAY SINGH

TOKYO-BASED ENERGY & SHIPPING EXECUTIVE WHO HAS WORKED AT THE SENIOR-MOST LEVELS OF JAPANESE INDUSTRY.

A STATISTIC often cited to illustrate the underperformance of India-Japan business relations, despite the otherwise flourishing strategic partnership, is the number of Japanese companies operating in India — 1,500. Thailand, in contrast, has around 6,000 Japanese companies.

Of the 1,500 in India, just 1% account for over half of all business. And most of this business, in turn, comes from a single sec-

tor — automobiles — thanks largely to the early commitment to India by Suzuki Motor Corporation in the 1980s.

However, more Japanese companies than ever before are now making efforts to do business in India, noticing the steady growth of the Indian economy despite global challenges, and realising that India offers stability in an increasingly uncertain world.

There is a subtle but telling shift in that a small number of the best Japanese corporations are now sending their most capable Japanese staff — a precious resource — to explore opportunities in India. There has been much investment in real estate, technology startups and steelmaking. Prime Minister Sanae Takaichi has brought welcome support to Indo-Japanese clean energy partnerships, among others. The fruits of all these endeavors will be visible in the coming years.

How Japanese firms can adapt

Japanese firms’ most valuable assets

when it comes to doing business in India are perseverance and resilience. To these they must add adaptability and the ability to develop strong Indo-Japanese teams.

The key to success in India — as in the case of Maruti Suzuki, Reliance’s Jio telecom service and others — is to provide products and services suited to Indian conditions, competitively priced and produced on a large scale; quality is vital but must come at a price the consumer is willing to pay.

Many Japanese companies insist on applying traditional Japanese ways of doing business in India — whether it comes to product designs or speed of response to customer requests — and lose out to more nimble competitors, including Indian ones.

Many Japanese corporations have become accustomed to operating in China which efficiently ‘packages’ everything necessary to ‘plug and play’ in the country — from industrial plots to construction contractors to trained workers to well-developed vendor bases to seamless logistics.

In India, foreign companies have to figure things out for which hiring and motivating capable Indian staff is essential. Japanese companies often make local hiring decisions based on a compliant attitude rather than one needed to win in a tough market and to develop a better understanding of India. The latter occasionally entails challenging entrenched cost structures or inefficient business processes or nudging mid-level managers at Tokyo headquarters outside their comfort zones.

It is almost unheard of for Indians to head even the India operations of Japanese multinationals, let alone taking global responsibilities. In contrast it has been common place for decades for Western multinationals to recruit the best talent in India, provide it with the same career opportunities as anyone else, promote based on globally-benchmarked merit and deploy it globally.

As a result, Japanese companies rarely attract quality Indian talent. The solution to these problems lies in reform within Ja-

Free Whatsapp Channel <https://whatsapp.com/channel/0029Van2VRb6RGjOKH6oBd0F> panese corporations.

What Indian companies can do

Although the governments of India and various states, industry associations and the like actively market India to Japan, it would be helpful to focus more deeply and actively support Japanese investors in India, especially first-timers in select sectors.

Partnerships utilising all available capabilities — not only government agencies — to create support structures that can deliver results on the ground are needed.

Corporate India would benefit by engaging with Japan more strategically and intensively. It is rare to find an office in Tokyo of even the biggest names among Indian firms, or even a part-time local advisor. Consequently, there is a lack of understanding of the Japanese mindset and of how business can be developed here.

Indian companies still look for old fashioned ‘collaborations’ or ‘transfers of technology’ in return for enabling ‘access’

to the Indian market by navigating bureaucratic complexity; this does little justice to India’s image, achievements and potential.

The Japanese are swayed less by the prospect of high profit or growth — important though these are — and more by their estimation of the people they may do business with. The ability to listen, to develop shared understanding, to stand by one’s commitments and to let achievements — not words — speak for oneself, are the behaviors that are respected. I believe Indian corporations can fruitfully leverage reciprocal opportunities to bring their products and services to Japan or jointly to third countries, and develop partnerships with Japanese firms to enhance their own research & development and other capabilities. Japanese firms, on an average, spend over 4% of their revenues on research and development compared to the Indian average of under 1%. This is why, despite its much smaller population and lack of natural resources, Japan remains a top global economy.

RAM TEMPLE DONATION ROW

How temples deal with donations

India’s biggest temples have similar processes to handle donations. What differs are the institutions governing these systems



DEEPTIMAN TIWARY

EVERY DAY, thousands of devotees fold currency notes into temple *hundis* (donation boxes) believing the offering has reached the deity.

What follows is a donation handling chain that is broadly similar across India’s biggest temples. Offerings are removed by authorised personnel, shifted to counting centres, segregated into cash, coins and valuables, counted, and recorded before being deposited into designated bank accounts. The entire process is under CCTV surveillance.

The recent allegations of theft of donations at the Ram Janmabhoomi Temple in Ayodhya have brought this invisible chain into public view. But Ayodhya is far from the country’s only temple handling massive offerings. Shrines such as the Sri Venkateswara Swamy temple in Tirupati, the Jagannath temple in Puri, Vaishno Devi temple in Katra, Siddhivinayak temple in Mumbai and Kashi Vishwanath in Varanasi receive hundreds of crores in donations every year, besides tonnes of gold, silver and jewellery.

Where temples differ is not in the journey of the donation but in the institutions governing the handling process. We examine the donation systems, oversight mechanisms and governance frameworks at five of India’s biggest temples and compare them with those at the Ram Temple.

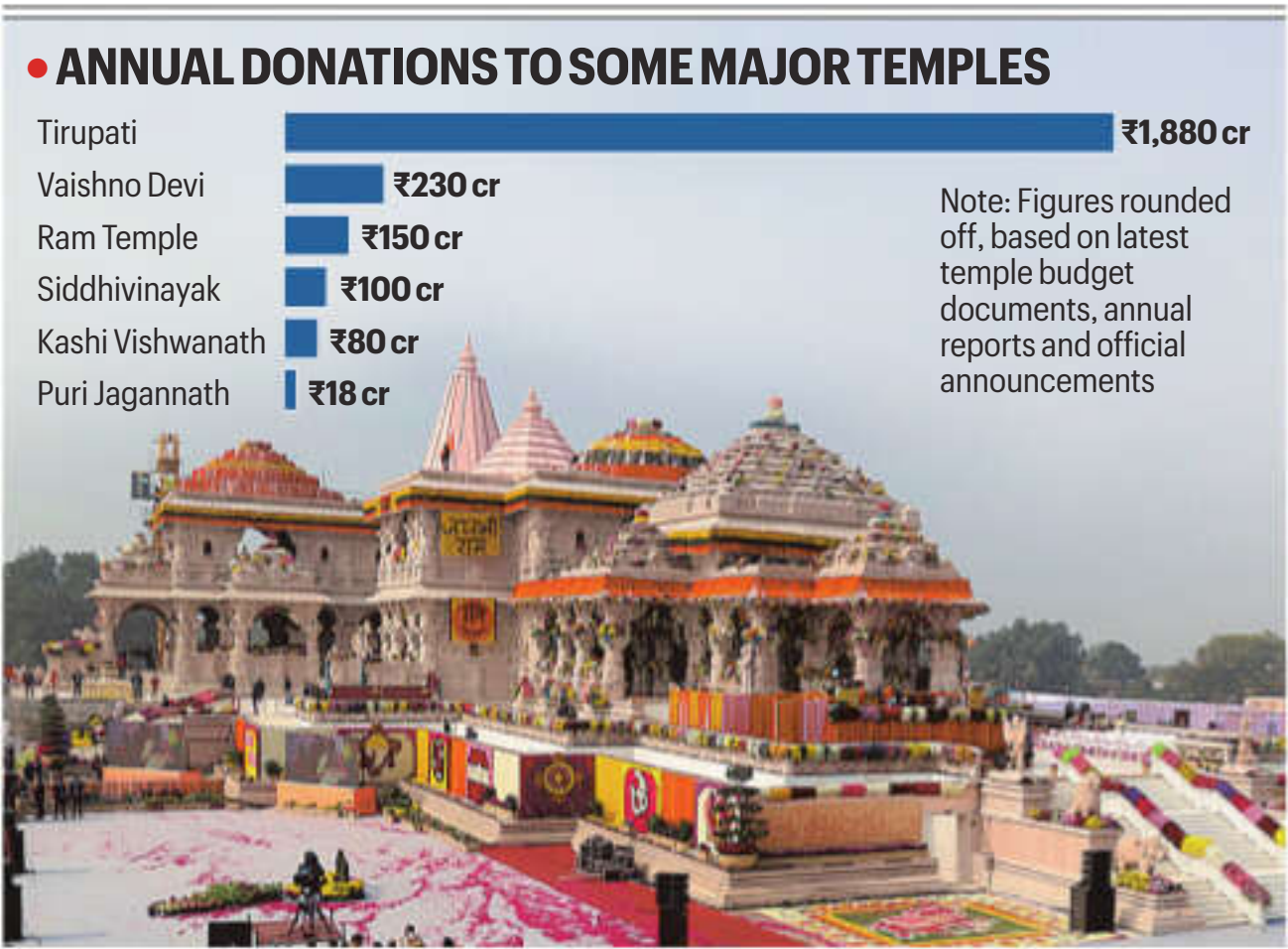
RAM TEMPLE: At the Ram Temple in Ayodhya, donations from about 35 *hundis* are opened by authorised personnel, including trust officials and a State Bank of India (SBI) representative, and taken to a counting hall inside the pilgrim facilitation centre. There, counting staff outsourced by SBI and trust staff count cash and jewellery under the supervision of retired banker Subhash Srivastava, while overall responsibility for the donation process rests with trust member Anil Mishra. Once verified, the collections are deposited into the trust’s SBI account.

TIRUPATI: Few religious institutions in the world process donations on the scale of the Balaji temple, and its famed ‘Parakamani system’ has evolved accordingly. Permanent Tirumala Tirupati Devasthanams (TTD) finance personnel, representatives of nationalised banks, and vetted volunteers — mostly serving or retired government and bank employees — work together to process donations under a CCTV network monitored by the temple’s vigilance wing. People, wearing pocketless clothes, are frisked before entering and leaving the counting hall. Cash movement is secured through armoured transport under escort, while access to different stages of the process is segregated among finance officials, vigilance staff, bank representatives and volunteers.

JAGANNATH: At Puri, *hundis* are opened under the supervision of the temple administrator or an authorised gazetted officer, while a member of the Managing Committee serves as an independent witness.

Each *hundi* is sealed before and after opening, entries are made in statutory forms, and CCTV monitors the handling of donations. Designated accounts staff maintain statutory registers for cash and valuables before bank deposits are made. The temple has also expanded official donation channels through payment gateways and Odisha’s digital *hundi* initiative.

VAISHNO DEVI: At Vaishno Devi, donation handling mirrors the shrine’s corporate-style



The Ram Temple in Ayodhya on its consecration day in January 2024. PIB

Systems in the states

TAMIL NADU: The Hindu Religious and Charitable Endowments Department, established under the Tamil Nadu Hindu Religious and Charitable Endowments Act, 1959, administers over 40,000 temples.

ANDHRA PRADESH: The Tirumala Tirupati Devasthanams (TTD) is an independent trust that manages the Sri Venkateswara Temple and several allied temples. The government appoints its Board of Trustees and Chief Executive Officer.

KERALA: The Travancore Devaswom Board, constituted in 1950, manages over a thousand temples, including the Sabarimala Temple.

UTTAR PRADESH: Following a major temple theft in January 1983, the UP Sri Kashi Vishwanath Temple Act was enacted by the then Congress government. A Board of Trustees was entrusted with its management, with a government-appointed CEO.

JAMMU & KASHMIR: A state government-appointed body manages the Vaishno Devi temple.

management. Donation boxes are opened by committees comprising accounts officers, area managers, and security personnel rather than individual trustees or religious functionaries. Finance, security and operations are handled by specialised administrative departments under the Shrine Board. Given the mountainous location, the Board uses battery vehicles and, when required, helicopters, to move valuables.

SIDDHIVINAYAK: Here, independent oversight begins at the counting table itself. According to treasurer Pawan Tripathi, the main *hundi* is opened every Thursday in the presence of an executive officer, a trustee, a bank representative, and an auditor under CCTV surveillance, ensuring multiple independent stakeholders witness every stage of the counting. Devotees also have access to official banking and digital donation channels.

KASHI VISHWANATH: At Kashi Vishwanath, the district administration is part of the accountability chain. The temple’s 56 donation boxes are opened under the supervision of a Sub-Divisional Magistrate, while counting takes place in the presence of bank officials and a retired gazetted officer.

Deposit receipts are generated for every transaction to create an audit trail. Jewellery is valued by government-approved appraisers before being taken into custody.

How Ram Temple stands apart

Most of India’s older major temples are administered under dedicated legislation enacted by state governments. TTD functions under the Andhra Pradesh Charitable and Hindu Religious Institutions and En-

dowments Act, the Jagannath Temple under the Shri Jagannath Temple Act, the Shri Mata Vaishno Devi Shrine under the Jammu and Kashmir Shri Mata Vaishno Devi Shrine Act, the Siddhivinayak Temple under a Maharashtra law governing its trust, while the Kashi Vishwanath Temple is administered under the Uttar Pradesh Shri Kashi Vishwanath Temple Act.

These laws create the governing bodies, define the powers of administrators, prescribe financial procedures, provide for government oversight and statutory audits, and in some cases lay down detailed rules for handling donations.

The Shri Ram Janmabhoomi Teerth Kshetra functions through a trust deed rather than a dedicated statute governing the administration of the temple. Day-to-day management, including appointments and financial administration, rests with the trust.

Another point of departure is the composition of the management. In several older temples, key financial processes involve executive officers, statutory administrators, government nominees, magistrates, auditors, or other public officials whose responsibilities are defined under law.

At the Ram Temple, many of the key office-bearers associated with donation management — including General Secretary Champat Rai, trust member Anil Mishra, administrator Gopal Rao, and donation supervisor Subhash Srivastava — have long associations with the RSS or its affiliates. Responsibility for administration is therefore concentrated within the trust structure rather than distributed across a broader statutory administrative framework.

The distinction assumes significance because a private internal audit commissioned by the trust within months of its formation identified weaknesses in the administrative framework.

Unlike many temple boards, the Ram Temple trust is not subject to mandatory financial audits by the state or central governments. Questions relating to public audit and oversight of the trust’s finances have also reached the courts. The trust has not publicly disclosed whether the recommendations contained in the 2020 audit were fully implemented.

When systems are tested

No major temple has been untouched by controversy. Tirupati has over the years tightened access controls, vigilance, and surveillance after instances of theft involving employees and volunteers. At Jagannath, the Ratna Bhandar dispute centred on the custody and inventory of temple valuables, eventually leading to court-directed scrutiny and fresh inventories.

At Kashi Vishwanath, efforts have increasingly focused on routing donations through official channels rather than direct offerings to priests, while Siddhivinayak has periodically faced scrutiny over governance and financial management.

The allegations at the Ram Temple are still under investigation and no conclusions have been reached. But the experience of India’s older temples suggests institutional safeguards are rarely built overnight.

The traditional models to manage temples, state’s role



SHYAMLAL YADAV

THE RECENT allegations of embezzlement of offerings and donations at the Ram Janmabhoomi Temple in Ayodhya have brought its management into focus. The Shri Ram Janmabhoomi Teerth Kshetra Trust was formed in 2020, when the Union Cabinet cleared the way for its establishment.

With reports of irregularities, Ram Temple Construction Committee Chairman Nripendra Mishra has advocated for appointing a CEO to manage trust affairs. On the other hand, the Vishwa Hindu Parishad, the main driving force behind the Ram Temple movement, has called for ‘liberating’ temples across the country from government control.

Temples and their assets

There are no official figures for Hindu temples in India, but estimates put the number at around 10 lakh. Most of these are small village shrines or modest structures maintained by local communities, families or hereditary priests who take the offerings and donations. A significant number of large temples own substantial properties and receive large donations from devotees. Charitable trusts often manage temples. Significant donations in the form of cash offerings and goods in kind are mostly unaccounted for.

Three main traditions of temple management

Temples are managed through diverse systems, primarily under three traditional models, with varying degrees of government involvement:

- 1. FAMILY MANAGEMENT (‘PANDAS’ AND PRIEST FAMILIES)**
The majority of temples are managed by specific families or hereditary priest lineages known as *pandas* or *pujaris*. Offerings, donations and ritual responsibilities traditionally belong to them. When multiple families are involved, control often rotates.
A notable example is the Udipi Sri Krishna Mutt in Karnataka. It is administered by the *Ashta Mathas* or eight monasteries founded by the 13th-century saint Madhvacharya. Each *matha* manages temple administration and rituals for two years; thus, the next cycle for a *matha* comes only after 16 years.
- 2. MAHANT SYSTEM**
Here, a single spiritual head (mahant, mathadhis or pithadheeshwar) holds prime authority. The mahant exercises control over temple assets, properties, offerings, and administration and typically appoints or nominates his successor.
A prominent example is the Gorakhnath Math in Gorakhpur, UP, headed by Chief Minister Yogi Adityanath, who was appointed by the late Mahant Avaidyanath. Similar successor-based systems operate in the Shankaracharya *mathas*.

- 3. AKHADA (PANCHAYATI) SYSTEM**
Akhadas are autonomous organisations of *sadhus*. These are often in the limelight during the Mahakumbh, where they are prioritised for the holy dip according to their relative status. *Akhadas* function as collective bodies, often with elected or consensus-based heads and also called “Panchayati Akhada”. They appoint priests, oversee rituals, and control donations.

Government’s role in managing temples

The British introduced the Religious Endowments Act in 1863, which handed over control of temples to committees set up under the Act. However, the government retained considerable influence through other legal provisions.

In 1925, the Madras Hindu Religious Endowments Act empowered provincial governments to legislate on endowments. Its powers gradually expanded to include oversight, even allowing takeover of the temple management. After Independence, the 1925 Act became the blueprint for various state laws.

Article 25(2) of the Constitution empowers the state to regulate or restrict “any economic, financial, political or other secular activity which may be associated with religious practice” and to enact laws for social welfare and reform.

This provision is the basis for state legislation governing temple endowments. Muslims and Christians manage their places of worship and religious institutions through community-run boards or trusts.

Apart from government-appointed bodies playing a role in temple management, they also pay salaries to priests and ensure that offerings and donations are deposited into dedicated accounts. States also use part of the income from offerings at large temples for the administration and upkeep of those and smaller temples, and for non-temple welfare activities.

